How often are stops hit? I placed a stop-loss order at the peak between the two bottoms and price touched this (after the breakout and on the way to the ultimate high) over 70% of the time. Scoot the stop a bit lower (the middle of the big W, measured from the peak to lowest valley) and the stop triggers less often, between 13% and 20% of the time. Place it at the lower of the two bottoms and it'll hardly trigger at all.

The safe place to locate a stop-loss order is below the bottom of the big W, but the distance between the stop and the buy price may entail a large potential loss. The rumors are true: Positioning a stop is an art you need to master to become a successful trader.

Once you decide where to place the stop, convert the potential loss into a percentage of the current price. If you gasp at the result, then the stop is too far below the current price. Either adjust the stop location, abandon the trade altogether, or hope the trade succeeds.

Table 7.8 shows how big W performance has changed over three decades. Because bear markets only occurred in the 2000s, they were excluded from consideration.

Table 7.7 How Often Stops Hit

Description	Bull Market	Bear Market
Pattern top	73%	75%
Middle	20%	13%
Pattern bottom	2%	1%